

Approaching the property market with a short-range view to make money is a risky approach because the cost of market entry and exit is greater than most other asset classes.

Too many buyers get caught up in the capital growth 'outperformance' detail and lose sight of the fact that they are buying a home. There is little point residing in an area or dwelling that makes you miserable. Choosing an investment-grade property is one thing, but being unhappy in an ill-fitting home, or delaying a purchase decision in the quest for perfection, is counterproductive.

Remember, it's likely you'll be making repayments for 30 years, so it's a long-term commitment. Ask yourself what an acceptable amount would be to pay, not just now, but if interest rates rise, or if you have children or your employment circumstances change.

What is your dream home?

Buying property is an emotional decision, so you may as well set your imagination loose and think about your dream living situation. This is not intended as a means to set yourself up for disappointment, but rather to create a scenario that will be the foundation for realistic boundaries. Start at the front door and, in your mind, walk through your ideal property. How many bedrooms does it have? Does it have a second living area, ensuite, study, deck, courtyard, garden, garage (and, if so, how many cars does it fit?). Does it need a renovation, or is it a ready-made pad?

Then ask yourself: is there a standout on your shortlist that more closely resembles these ideals, ones you have held to tight through the savings journey?

Needs versus wants

Take your dream-home sketch and separate the features you've imagined as needs and wants. You might want to be near a café with a lively Saturday scene, but you also need to be near public transport. A 'want' is ample floor space; a 'need' is to live as near to work as possible. Before taking the steps